



>>Gyanesh Sharma, AVP - Engineering, Shopclues shares his insights on the changing ecommerce scenario and the challenges faced by Indian e-tailers>>

Building an ecommerce store to cater to the myriad needs of the diverse Indian population can be quite a demanding task. Moreover, the ever-increasing competition in the segment requires innovative changes to be made. Gyanesh Sharma, AVP - Engineering at Shopclues tells us how they tackle the everyday issues of an upcoming ecommerce company while planning for the future.

Mithun: As there are plenty of easy-to-deploy ecommerce CMSs in the market, quite a few being open source, has it become easy for new entrants in the market to gain a footing without much investment into a back-end team?

Gyanesh: Yes, the availability of easy-to-deploy e-commerce CMSs in the market has certainly made it easier for new entrants to gain a footing in the market. This happens in every industry and is a common phenomenon for those exposed to business. Once a domain opens up, newer entrants are able to do business without as much investment in the back-end as the pioneers. Either the technology becomes open source or the availability of talent in that domain gets amplified with time. However, this doesn't mean that newer players have an edge over those who entered the market first. The latter always has the first mover advantage and newer entrants will have to

go the extra mile to make their presence felt. Easier availability of technology and tools is only one aspect of the game.

Mithun: What are the key technological challenges for an ecommerce platform? Does the Indian market add any new parameters that well developed countries don't have to worry about?

Gyanesh: The key tech challenges for an e-commerce platform are scale, data and automation. Scale is pivotal in handling the rapidly increasing traffic in a vibrant and growing market. Data is imperative to understand consumer behaviour and accordingly make the right decisions and champion appropriate innovations. Automation is important to bring efficiency and speed to operations, another very vital aspect for committed growth.

These challenges are mostly universal. However, the Indian market is certainly different the US or Europe in the sense that the average transaction size is way lower. This is why Indian e-commerce players need to bring in greater efficiency and complete accuracy in operations to be profitable. This translates into very lean business models and extreme frugality across all departments. This is where innovation comes in as one needs to know exactly how to be effective while remaining lean.



Mithun: Would you endorse an app-only-marketplace strategy for any ecommerce platform that deals with physical goods in the current market?

Gyanesh: No, we at ShopClues wouldn't endorse an app-only-marketplace strategy for an Indian player at this stage. There is no denying that a large percentage of Indian consumers now access the internet from their smartphones. However, the desktop is also here to stay and so is the web experience. A lot of high-spending consumers in metros still prefer to use the desktop while make big ticket purchases. Additionally, most users will only keep a certain number of apps on their phones due to limitations of memory and usage. So if they don't choose to download the app, you're missing out on the opportunity to serve them via other platforms. Therefore, both desktop and mobile websites are an important part of e-commerce strategy along with apps, and both need to coexist successfully.

Mithun: When it comes to building a recommendation engine, does ShopClues mine user browsing data limited to ShopClues or are tracking cookies used to gain a deeper insight into the user's browsing habit across third party sites?

Gyanesh: We only use data mined from ShopClues user browsing history. As a company, we take customer privacy very seriously. Tracking cookies to gain a deeper insight into a user's browsing history is strictly against our policy. We plan to continue being extremely careful about the kind of customer data we access.

Mithun: Also, should we expect to see a new payment gateway from ShopClues?

Gyanesh: There are a lot of companies doing payment gateway, and some of them are really good. We don't have an ego problem that we must create everything that we use. If someone is doing a particular technology well, we would rather partner with them and keep our focus on the core business.

Therefore, creating a payment gateway is not a priority for ShopClues. However, we are in the process of releasing an innovative product for sellers. Payment will be one of the critical features of this product. This new product aligns well with our strategy of having a deep focus on sellers. We see them as an important part of our business success and this product will make it easier for them to sell through our platform and grow their business with us.

Mithun: Often, e-commerce platforms focus a lot on enhancing customer experience towards purchases but the grievance redressal mechanisms are often cryptic and hard to access. Will ShopClues go down the same road or do you plan on taking the road less travelled?

Gyanesh: At ShopClues, customer experience and retention have been equally important parts of our strategy from the word go. We have always focussed on grievance redressal as much as we have laid emphasis on customer acquisition and we intend to keep improving our post purchase experience. As a matter of fact, we have better repeat purchase frequency for the complaining customer cohort. Moreover, we are taking up projects specifically focussing on improving post purchase experience and delighting the customer continuously even after the purchase has been successfully completed. >